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ROCKWOOL A/S (ROCK.B.DK)

Annual General Meeting

CORPORATE PARTICIPANTS

Thomas Kähler
Chairman, ROCKWOOL A/S

MANAGEMENT DISCUSSION SECTION

Thomas Kähler
Chairman, ROCKWOOL A/S

Good afternoon. Dear shareholders welcome to Rockwool's AGM on this lovely sunny Wednesday in Roskilde. It's nice to see you all joining us here in the dark and we will have to have be efficient so we can get back into this out into the sun.

My name is Thomas Kähler and in accordance with Article 8a of the articles of association the Board of Directors has asked [ph] Anas [indiscernible] Jensen from the legal company [indiscernible] to be the chair of the AGM. So I give the floor to you Anna.

Unverified Participant

Thank you very much, Thomas. I have a few formalities to take you through. I have looked through the convening notice and I can conclude that the AGM has been legally convened and all of the requirements about the time and place and the contents of the convening notice and all of the information that must be published beforehand have been fulfilled. If we look at the agenda for today, you can see it on the slide behind me in the minutes as well. In any case, we have all of the usual items on the agenda, and all of the proposals today can be adopted with a simple majority. However, we do have two items. One, share split and one, regarding a capital reduction that both require a qualified majority, which means two-thirds of the votes cast and the represented share capital. In ROCKWOOL, we have a rule that when you propose these sort of changes, at least 40% should be changes at least 40% should be represented at the AGM which is also the case and that means that the AGM today is competent to transact all of the business on the agenda and now you can see the agenda on the slide behind me. Let's see if how we're doing in this sunny weather, 175 have registered to participate of which 170 shareholders and according to the recent numbers about half are actually here, so about 90, perhaps 100 people are present in the room. Apart from the people joining us in person, many have also given us proxies and postal votes beforehand and that means the total of 84% of the total votes in the company are present and about 75% of the total share capital is represented. The number of proxies are 98% of the votes and 97% of the share capital and that means that with that amount of proxies received beforehand, we already know that the proposals put forward by the Board of Directors have sufficient support in order to be adopted in line with the recommendation of the Board of Directors. However, we can still have a good debate about all of the items on the agenda today. As usual here in our call we'll take the first three items jointly and that means that first of all, the chair of the board, Thomas Kähler will present his report on the annual report. The floor is yours.

Unverified Participant

[Foreign Language] Thank you very much. And once again, good afternoon to all of you. On the screen behind me, you see the, you will in the moments On the screen behind me you see the, you'll in a moment see the headlines of my report. I guess the slideshow isn't that quick today as I prefer it to be. There they are. We are manufacturing company with large machinery in our factories and the safety of our colleagues is and must always be number one for us. It is our responsibility to ensure that our employees go home every day in good condition as when they arrive at work. Over the years we have implemented a wide range of initiatives to improve safety, both physical protection, such as railings, safety fences and locking mechanisms, as well as training and education of employees so that, our colleagues understand that their own and their colleagues safety always comes first. It was therefore, with great sadness that we learned that an external employee died during the year while working at our factory in Thailand.

We have, of course, conducted an investigation into the incident and shared the lessons learned with our other factories. Looking back on 2024 as a whole. It has been another tumultuous year with many political challenges and geopolitical tensions around the world. First and foremost, the war in Ukraine continues. As I've spoken about at previous AGM. This has put ROCKWOOL in a dilemma in relation to our four factories in Russia. It is my impression that there is actually a good understanding of our circumstances in many places. But that does not change the fact that it is a difficult and unpleasant situation.

Let me briefly outline our position as I see it. We still own the full Russian factories, but we have nothing to do with our operations. They are self-sufficient with local raw materials, technology and labor, and they only supply products to the Russian market. They would undoubtedly continue to operate without our ownership. Therefore, we are not divesting them because it's our strong suspicion that they would immediately be taken over and continued in Russian hands. And we cannot convince ourselves that it is a good idea to give ROCKWOOL Russian revenue and business to the Russian state or oligarch. So we keep them. Of course, the Russian business pays taxes on its profits to the Russian state, but that would also be the case if it were if they were owned by others. Is this a perfect solution? No, it's not. But we think it's the least bad solution.

Once again this year, the board will propose to donate an additional DKK 100 million to support the Ukrainian reconstruction fund. And that will bring our total donation to the fund up to DKK 0.5 billion. And I'll get back to that later, later in the agenda, that is. But there are also other challenges in the international scene. Among other things, we have to deal with tariffs around the North American market. As we mainly produce goods for the US in the US and goods for Canada in Canada, we do not expect to be hit hard. And regardless of tariffs, we have good expectations for the North American market where we expect moderate growth in the coming year.

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The picture in the EU country set up is a bit more mixed. In general, we expect limited growth in new construction. But there are also opportunities in the development of the EU. Building directives have been adopted that dictate that member states must thoroughly renovate the European building stock. It is estimated that between 25 and 30 million buildings must be energy renovated by 2033. Most recently, we have seen positive signs from the German market that is very important to us. There are reports of accelerated ambitions for energy renovations and this can have a positive impact on our business and increase the demand for our renovation solutions. After the official part of the AGM, Senior Vice President, Mirella Vitale, will discuss the upcoming extensive renovation of the European Building stock and what it will mean for us at ROCKWOOL.

In Europe, North America and Asia we expect increased demand for non-plastic based insulation products. During the year we have therefore decided to build new factories in the US, Sweden and India in addition to the previously announced plans for new factories in France and Italy. We have also acquired a plot of land for a future

factory in Birmingham in England, and we have made two acquisitions last year Stonewool factory in Vietnam and a supplier of façade systems in the UK. In the coming years we will continue to make investments to strengthen our production setup to meet market demand and needs.

In the coming years, we will continue to implement our own green transition [indiscernible] will and positives have been made here. In 2024, we converted our factory in France and Switzerland to electric melting furnaces. This has reduced CO2 emissions at the factory by 75% or 25,000 tonnes of CO2 per year. We have now started electrical conversions of the next three existing production lines in the Netherlands and France, and we have decided to build new electrical lines in Romania and the US. Electrification is the way forward for ROCKWOOL's factories. But we often face the challenge that it can take a long time, several years, in fact, to connect to the electrical infrastructure.

Here, national and regional investments in the expansion of that infrastructure would be desirable. In general, we are well on our way to reducing CO2 emissions from our own activities, the so called Scope 1 and Scope 2 emissions. Scope 1 can be described as the greenhouse gases emitted from our own factories, while Scope 2 greenhouse gases emitted in the production of the energy we use, such as electricity. We have now achieved an 18% reduction in absolute Scope 1 and Scope 2 emissions since the base year 2019. We are on track to achieve a 38% reduction by 2034. The fact that the emissions are absolute means that the reductions must be achieved regardless of our production increasing during that period regardless of our production increasing during that period. This year, we have updated the method for calculating our Scope 3 emissions i.e., the emissions from activities we do not own or control, such as extraction of raw materials or transport.

In the coming years, we will report on the development of these figures as well. We have also become more energy efficient in our offices around the world. Here we use 39% less energy than we did in our base year, which in this context is 2015. So we are practicing what we preach, and this is all according to our plan. Similarly, reducing water consumption and developing our concepts for recyclability are showing good progress.

And now the financial results. We can be very satisfied with the group's business performance in the past year. We grew our revenue by 6% to just over €3.8 billion. And our profit before financial items and tax increased by 31% to €677 million, corresponding to an operating margin of 17.5%. This is very good in a difficult year. The favourable development is partly driven by increased productivity in our business and organic growth in key markets, just as we have succeeded in compensating for increased cost with price increases. Looking at the year's results from a regional perspective, we can start by noting that the Western European market grew by 2% to a revenue of €2.2 billion. We made particular good progress in Germany, Sweden and the UK and Spain. While it was more difficult in countries like France, the Netherlands and Denmark and the Eastern European market, we saw growth in revenue of 11% to €753 million. Romania showed strong growth while there were declines in Poland and Hungary. Russia showed unexpected growth in the first part of the year, but this turned into a decline in the fourth quarter. As I've mentioned before, we have nothing to do with the operation of the Russian business. So I have no insight into or comments on the dynamics that drive the fluctuating – fluctuations there. The North American market showed strong growth, with an 18% increase in revenue, which came to €737 million. This was particularly driven by our insulation business for buildings and technical insulation solutions for the industry. The rest of our global markets had a revenue of €195 million corresponding to a growth of 7%. And I would like to emphasize that general growth in all our Asian markets except China, which lagged behind. Looking at the two Rockwell business segments, our insulation segment, achieved a revenue of just over €3 billion, which was an increase of 8% and an EBIT of €565 million. This corresponds to an operating margin of 16.6% and that result was supported by organic volume growth, stable prices, falling energy prices and increased productivity.

Our Systems segment had a 1% decrease in revenue compared to the last year and ended at €823 million and EBIT totaled €112 million and adjusted for lower revenue, this corresponds to the year before. If I then have to look forward, which can be difficult in this period of history, it is expected that in 2025, we will generally see low but stable economic growth in Europe and slightly higher in the US.

Inflation is expected to play a smaller role than in previous years, and together with an improvement of the general economy in several of our main markets, this could provide a positive boost to economic activity. However, we cannot ignore the continued risk that political, economic and geopolitical instability can lead to unrest in some markets. Specifically for the European market, our focus will be to support the implementation of the building directives to ensure energy renovation of the building stock.

The Eastern European market is expected to represent a slight decline compared to last year. Our key markets in Asia have good momentum and in India in particular, there's good growth in the industrial sectors, construction activities. Finally, our North American market has shown strong growth in the past year, and we expect growth in 2025 as well, although at a slightly lower rate. Among other things, we have to navigate trade barriers between the US and Canada, but fortunately our organization is used to dealing with volatility, so we will do the same here. Our share price has developed very positively throughout 2024, but ROCKWOOL will share classes. During the year, both A and B shares increased by 29%. These increases should be compared to 6% in the benchmark index Stoxx Europe 600 construction and materials and a 2% decrease and then Nasdaq OMX C25 index during 2024. In accordance with our policy of paying a stable dividend of at least one third of the profit after tax, the Board of Directors is pleased to propose a dividend of DKK 63 per share for the financial year 2024 and this will be put to a formal vote later on today. In addition, we have decided to initiate a new share buyback program in 2025 of €150 million in continuation of last year's share buyback program of €160 million. Together with our annual report for 2024, we also published our remuneration report for the year. It contains an overview of the remuneration of ROCKWOOL's Board of Directors and executive management for the financial year 2024. And as always, we present this report at the AGM for an advisory vote later today. In 2024, the remuneration for the Board of directors totaled €800,000, and for the Executive Board it totaled just over €8.3 million, which is 87% more than last year, and is due to a combination of severance pay to the outgoing CEO and sign on fees for the new CEO.

These amounts follow Rockwool's remuneration policy that was approved at the AGM last year, and the numbers can be seen here on screen behind me and further details in the remuneration report, which is available on our website. Also in 2024, the board of directors conducted its annual self-evaluation. Based on the evaluation, the Board of Directors has concluded that the composition is appropriate and sufficient for the Board to fulfill its tasks and support the long-term value creation for the company and its shareholders.

You can read more about that evaluation in the annual report as well, and I would like to take the opportunity to thank my colleagues on the board for a well-functioning corporation, great dedication and value creating efforts. There's been a significant event internally in the past year because, Jes Munk Hansen has become our new CEO as the 1st of September. And he replaced Jens Birgersson, who for the past almost 10 years has led the company in a development characterized by significant growth and progress. I would like to thank Jens for his hard work and dedication. And in the same way, I would like to thank you Jes, for taking up the challenge. You bring a strong set of experiences and competencies and insights into both the construction industry and the industry. I think your start has been very gratifying and we have great expectations for continued development of ROCKWOOL under your leadership.

On behalf of the entire board, I would like to thank all our leaders and employees for their hard work and record results that have been achieved in a challenging 2024. And finally, thank you to all of you, our loyal shareholders, for your continued support in your investment in the ROCKWOOL Group. Thank you.

And with that, I give the floor back to you [indiscernible] (00:22:27)

Unverified Participant

Thank you very much to Chairman, Thomas Kähler. Now you have the opportunity to ask questions and make any comments to the report and the Annual Report. We have three speakers already. The first person is Mark [indiscernible] from ATP. And after Mark and his questions and the answers it will be Claus [indiscernible] from the Association of Danish Shareholders. And then [indiscernible]

Unverified Participant

Thank you for giving me the floor. Thank you to Thomas for a good report on the past year. And let me also emphasize, I would like to congratulate you with the good results. First of all, I would like to welcome guests as the new CEO of ROCKWOOL after sitting on the board for a while. We've already had the chance to speak to each other at a number of occasions, and you have given me your views on the future. And the message, as I've heard it, is that your views on the future. And the message as I've heard it is that ROCKWOOL is a very well run stone wool factory. And we can see that on your results. So we shouldn't expect dramatic changes, but minor adjustments. And that is also the case when it comes to the change of name of the CEO. It's just a matter of taking away and going from [ph] end to yes.

So with a steady hand on the wheel, we can expect you to navigate safely through these very turbulent waters. We have seen changes in the German government and new construction regulations from the EU that should give you some favorable conditions. And therefore, you also expect to expand your factories.

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And I would like to ask the Board of Directors with a view on this acceleration, how are you going to control the timing of these new factories, given that there is a great deal of politics in this as well?

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First of all, in order to achieve a healthy balance between supply and demand, but also not risking biting off more than you can chew when you are expanding with more factories in parallel. And one thing is future opportunities. Another thing is the past results. I can only congratulate you with good results in view of the very challenging market, and naturally, this has led to large bonus payouts for the executive management.

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But the reasoning behind these bonuses have not been very good and have not been described in a lot of details. You are only talking about targets on sales and earnings. So could you please tell us a bit more about the basis of these two KPIs.

And other kind of reporting that you have put a great deal of effort into in recent years is the sustainability reporting.

And this year I stumbled upon the fact that the rate of lost time incidents has gone the wrong way, even though the factory network today has a lower capacity usage than just a few years ago. And that means that production should have less haste and be less busy. So that should have led to fewer incidents. Therefore, I would like to ask whether we can expect a decreasing amount of incidents now that the capacity is going up. With those words, let me once again congratulate you with a good results. And I wish the board, the executive management and the employees a good year ahead.

A

[Foreign Language] Thank you for the praise and those nice words you're about the name. Perhaps that should have been part of the nomination process to, to find someone that didn't give rise to any confusion as to the CEO's name, but I'm sure we'll manage. To your first question about how we can control this capacity expansion and you're quite right here that with the expected demand, the demand we expect on our products, we have prepared a very ambitious plan for new capacity expansions. Fortunately, we have a very good engineering department that can handle a number of parallel projects around the world at the same time. Of course, we try to balance our capacity vis-à-vis the demand, but as there are also political influences here that we cannot predict and as it typically will take four years to five years from the decision is made to open a new factory and until the new products come out of the factory, well, we can't be sure that we can hit the timing exactly right every time. But in the long term, it has proven to be an important competition parameter to have a well-run production facility with good capacity due to the high delivery costs that our products entail.

So we hope that we will be pleased with the expansions that we are making right now in the long run, even if we do not open on the exact right time. And then to your questions about bonus payouts to the executive management, where you would like to have some more insights into the grounds for this. And here I think we are a bit different from other companies because we have an incentive scheme that is very simple with very few measurable parameters that are not negotiable.

It's pure mathematics. So it's a pure calculation of the bonuses for the executive management, KPIs are directly related to sales and earnings. For other parts of the business, we have also connected one or more individual KPIs to the bonus scheme. Sometimes we've been criticized for not having KPIs related to sustainability or CO2 reductions, but as reduction of CO2 emissions require large investments that need authorization from the board, we think it is only reasonable that they do not enter into our calculation of the variable remuneration of the executive management.

Your final question was about lost time incident and the frequency where you are quite right that unfortunately we have seen a negative development last year. No matter the capacity usage in our factories, safety is our number one priority, as I said to begin with in my report just now. We have a very thorough system to record all of our lost time incidents and also near-misses. And we analyze all incidents in order to learn from them. And this experience is being shared with all of our factories so we can all learn from them. And during the past many years, we have seen significant improvements of our statistics. And of course, our ambition is to continue this positive trajectory no matter what the capacity usage on our factories is. I hope that answered your questions.

Operator: Thank you for that. And the next speaker is [indiscernible] 00:30:39 from the Danish Shareholders' Association.

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Thank you to the chairman and the board of directors for a comprehensive report and review of the annual report. My name is [indiscernible] and I represent the Danish Shareholders' Association, which represents the interests of smaller shareholders. We work to develop a healthy share culture in Denmark and we represent about 16,000 members. ROCKWOOL delivers a comprehensive and transparent annual report and ESG report. ROCKWOOL is a solid company, and over the years it has delivered good results with a focus on climate challenges and the green transition and focusing on how ROCKWOOL can contribute to solving those challenges. There's good progress, progress in decarbonization and electrification of the product lines and the emissions of CO2 from the FLUME's factory in Switzerland have been reduced by 75%, which is very impressive. ROCKWOOL is well positioned for the future in connection with new requirements from the EU to make new buildings more energy efficient. We would like to welcome Jes Munk Hansen as new CEO after the longstanding CEO ens Birgersson. 2024 was a fantastic year for ROCKWOOL. 2023, there were a number of challenges, such as increasing interest rate levels and a decline in building activities. 2024 showed an increase in both revenue and earnings. As Thomas Kähler mentioned, the solid figures in EBIT margin of 17.5% compared to 14.3% a year before and a return on equity of 18.7% against 14.4% in 2023. Very solid cash flow and a net debt of zero and earnings per share of DKK 492 compared to DKK 134 in 2023. And as shareholders, we are pleased to see that dividends increased to DKK 63 per share compared to DKK 43 per share in the year before. And also share buyback program. The share price for the B share has increased by a 29% in 2024. But there was a 6% increase in STOXX Europe, 600 construction materials and a 2% decline in Nasdaq OMX 25. And the positive development in this share price has continued in 2025, even though there has just been a slight decline in recent weeks. It has actually gone up again this morning.

So return and earnings, this has been a very positive performance for the shareholders, in ROCKWOOL.

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Thank you for that and congratulations on your hard work. I have a few questions. What's the state of paying out earnings from Russia, considering the restrictions from the Russian side regarding foreign companies transversed to abroad? And my second question in the annual report, it is stated that there is a risk that the Russian government could nationalize Western companies. What would that mean financially if the Russian government nationalizes ROCKWOOL in Russia? And my third question, how do you think ROCKWOOL revenue and earnings in the US will be influenced by possible tariffs on imports from Europe and other countries? Thank you for your attention.

A

Thank you, and thank you also for your kind words.

There were three questions. The first has to do with dividends from no earnings from Russia and we have had dividends pay out in the past three years and we've asked to get the next batch of dividends, but that has not been finally approved yet. We know from the last time we applied that, that process can take a very long time. You asked about the risk of a nationalization in Russia, because it's also mentioned in the Annual Report. And

that's because in our work with risk management, we consider a number of risks that might affect us, such as a nationalization of Western companies and Russia. That's what we state in the annual report. It would be pure speculation for me now to describe such a situation and what it would mean to us. But I will say that our sales in Russia are less than -- less than 10% of our group revenue. And then the US and possible tariffs and how they might influence our business.

And clearly there are challenges, not least in the North American continent. But it's not unusual for us as a company to navigate such volatility. As I mentioned in my report, we have business with local production in all our major markets, including the US, so we don't expect to be affected very much. The cost of new tariffs would be softened a bit through price increases if necessary. And as I've said, we have a positive outlook on the American market where we expect a moderate growth next year. I hope that answered your questions.

Unverified Participant

Thank you very much. Our next speaker is [ph] Mr. Bjørn Hensen.

Unverified Participant

Right. My name is [ph] Bjørn Hensen. I represent small and big shareholders alike. First of all, I would like to congratulate you with your incredible results and with the progress that you have achieved for a number of years now. Can you continue to have a very low debt? And that is very well done. I have noticed that you seem to be underestimating some of your markets and you should be cautious, as you are. But now the German states have voted, last week there were elections in Germany, and that means that billions will be allocated to infrastructure projects. And that some of this might be used for construction, whether it be defense buildings or road infrastructure is still uncertain.

Whether it be defense buildings or road infrastructure, it's still uncertain. But my first question is could some of your products be used for instance, highways in Sweden. Just before Sweden entered the EU, they laid out a certain material on their roads that really led to the elimination of any frost damages to their roads. I don't know if you are working with paving of roads, but if you notice it and if you go north, you will see that their highways are incredible to drive on. So perhaps some of your products could be used in that respect, or you could go to the markets and perhaps you could go into partnerships with certain factories that are producing these materials for paving roads. The annual report is prepared in American, but as I understand, reading this, this American version of the annual report, about 40% Danish and about 40% American investors are part of the company. So, I would like to see I mean, you have issued a certain summary in Danish, but other companies such as Saab, the Swedish Manufacturer, they have prepared their annual report in Swedish first and then in English. The same goes for Hapag-Lloyd in Germany. They prepare their annual report in German first and then they publish it in English. The same goes for Audi. They prepare their annual report in German first and then American, but back here in Denmark, we have been, we have caught the American illness, I might call it, because we do have we do everything in American. And when I travel and meet people and talk about ROCKWOOL, they always think that it's a British or American company because so many American words are being taken up into the Danish language. I mean, it's a great name that your company has, and I understand why you've chosen it. And it's been, it's being understood around the globe. So what I'm asking for is that you publish more information in Danish. For instance, there's nothing in the English nor the Danish version about how many shares each investor has. If you look at this in, and when it comes to Swedish companies, then you can see shares and options. Options are important to ATP touched upon this. Like in Coloplast when the chair of the board, he has DKK 200,000 worth of

shares and he sold them and that affected the share price, of course, it was reduced and it hasn't really adjusted upwards yet. So you kind of think what's going on, right, but I'm really fond of this company. The Kähler family has a great deal of shares in the company and they can control all of this through their foundation. And that's important so that we don't all of a sudden end up with 8% of the company being owned by the Chinese. We have seen that with one of the biggest companies in Europe in the defense industry. It borders on espionage. So, so you just should be very careful So you should be very careful and cautious when you purchase shares in the defense industry and make sure you know who's behind it. The West must stand together. We can't help the Russians here, because this will take time and it will take a lot of time. My next question is in the EU and even in the Danish Parliament, Danish is still spoken and it's true that derogation was given during COVID for emergency purposes, but that is not the case anymore.

And I think that the dividend itself should be stated in Danish kroner, also because the yield of this civilian company is very, very handsome. I know, AP Moller – Maersk is in a different league entirely, but you have nonetheless really shown a good increase in dividends and that has been your policy for decades. It hasn't been invented yesterday. So congratulations.

And that leads me to the foundation, the Ukrainian reconstruction fund. Here, we would like to know how much you have spent in Danish kroner or in euros in the past year. And what amounts are relevant when it comes to the Ukrainian reconstruction fund, ROCKWOOL has provided insulation for soldiers for their tents and for other good purposes, as shown here in the report. And I think that's an excellent idea. These mats that you provide make sure that people can stay warm and they don't get sick. And when people sleep well, they will fight well. So I hope you can continue that efforts because they represent our democracy and our freedom.

Now, Thomas touched upon this in his report just now that it seems that about €0.5 billion, if that is already allocated or if it should be, I would like to know more about that and perhaps could we see some more growth in this figure? I would like to see it doubled or even tripled.

My fourth point is what is the profit of the Russian Rockwool factories this year and for the past three years? And what do you expect for the future in Russia? Does Rockwool want to sell these factories to Putin's government? We have already had a partial answer to this, and the persons I've talked to today do not want rubles. So perhaps you could change your rubles. I could refer you to Carlsberg because they used to have a number of breweries in Russia, but the ruble is only converted into DKK 0.3 Danish krona, so I don't think you would like that exchange rate. Rockwool should be even more present in Germany. I've already said this before, but the German debt break means that it's not -- It does matter what parts of German Germany you invest in and what sort of industries you invest in?

When it comes to the defense industry, the rules now have been adjusted so that they can just start spending. But infrastructure and here the EU knows that Germany is the economic engine of the EU and I think that you could really boost your sales in Germany. I could also recommend your share to new investors because many in Germany. I could also recommend your share to new investors because many people have asked me throughout the past two years they would like to know more about how to trade on the share market and what you should be cautious of and you shouldn't panic even though a share or certainly plummets with 20%, it can also increase by 40% and then you shouldn't get too excited, but keep a steady hand on the wheel. You're doing very well. Congratulations and thank you for the floor.

Unverified Participant

Yeah. Thomas, come over.

Unverified Participant

And Thomas will answer these questions.

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Be more like Fox when they ask why don't.

A

We don't measure the incident rate of our shareholders. Brian, but thank you for your comments, your questions, and not least for your kind words when it comes to last year's results. You started with the highways and well, we have a product that we -- we place on the railway swallows, and we've had that for many years. So we do have some product to that name, but we also have products that can absorb great deals of water so that you can lay it under roads or parking lots or other places like that to make sure that they are not flooded when it comes to too strong rainfall.

We don't have any plans of helping to defrost the Swedish highways, but we are working continuously on innovation. And I think it could be interesting if we could do something when it comes to road construction. So we will take that on board. Then you once again commented on our annual report being published in English and the summary in Danish. I hope you appreciate that we now have a very good report in Danish this year, even though it's a bit less extensive than the English version. You have a good point that many people would benefit from hearing more about the company and the good results in Danish and you can gain a great deal of information from the Danish version that we have published.

Then you ask about the Ukrainian reconstruction fund. And just to make a few things clear, at previous AGMs until today we have decided here at the AGM to donate DKK 400 million to the reconstruction fund and later today, later in the agenda, we have a proposal to donate a further DKK 100 million so that we will achieve a total of DKK 500 million or DKK 0.5 billion. You also mentioned that ROCKWOOL has donated insulation for soldiers I'm not aware of that. ROCKWOOL has not made any donation of insulation materials to soldiers. But in the foundation, in the reconstruction fund for the amount of time that it has been in existence, it has donated tents and diesel generators for civilian use in the cities that have been affected by Russian attacks. But ROCKWOOL has not, and the fund has not donated directly to the Ukrainian military. The €400 million has been donated to the funds, and they have spent €50 million roughly of that amount, it doesn't sound like much, but the fund has committed to some very big projects to build housing, estates. We have one big project to build hundreds of apartments and of course it will take time before the bricks are actually laid. But in the meantime, we've also donated diesel generators, school buses and boilers and other things to help the people who have difficulties staying warm in their ruined houses.

Then you ask about the Russian factories and their profits, and I have to say we do not publish details about our individual countries apart from the figures published in the Annual Report. As I mentioned before, we own four Russian factories, but we have nothing to do with the operations of these factories. They are self-sufficient and they only provide products for the Russian markets. And we don't know about the dynamics that are in place in that market, and nor do we have any plans to divest these factories.

Then finally, you touched upon Germany, to divest these factories. And finally you touched upon Germany and we completely agree that the development is very interesting in Germany and hopefully, this trend will disseminate into other European countries. Germany is a big market. We have three big factories in Germany and we expect that we do have the capacity to meet, hopefully, increasing demand. I hope that answered all of your questions. Thank you very much.

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Thank you, Thomas Kähler. Does anybody else want the floor here? Yes. Go ahead. Come up here.

Q

My name is [ph] Heinz Erikssen. I have a couple of brief questions. But first, I would like to thank you very much for the annual accounts. It's a pleasure to be a shareholder in your company. Geothermal energy, I understand that it's something people are working in on and that it will accelerate. Is that something Rockwool will go into because that would primarily be for district heating systems. And then we have the security fair in Munich, which was held recently and the company [ph] Confras was represented there. I don't know whether you were there, but there was a Danish journalist there talking to Confras saying, what are you doing here at the security fair in Munich. And Confras explained that there's so much investment in AI now that there's so much investment in AI now that in five years you need as much water for cooling as the US uses to drink every year. So that makes me ask myself, well, when it comes to cooling servers, wouldn't it be better to use the heating for instant district heating. So maybe you could enter that. And then, of course, German, Germany was mentioned that there's now green investments in the pipeline. And I would like to see Europe will get a large piece of those DKK 100 billion that have been set aside for the green transition now in Germany. Thank you.

Q

Thank you, Hines. I'm glad that you are happy to be a shareholder. Geothermal energy in district heating, well district heating pipes are typically insulated with plastic foam, so we are not really involved in that. But of course, geothermal energy can be a player in the energy system that will help drive or run our factories and also the long-term climate solution that we are part of. Now, when you mention cooling and you are right that it takes a lot of energy to cool buildings and I think today you will see more energy on cooling buildings than heating them. So there's a great potential there to help reduce energy consumption also in cooling buildings. I don't know about the water consumption in this aspect. But if you insulate buildings so you need less cooling, then hopefully, it'll go in the right direction.

And then other new things in the pipeline regarding investments, as I mentioned earlier, Germany is a very important market for us. So we monitor that closely. And of course, we try to offer solutions for the applications. That will be interesting. And I can mention that datacenters, as you mentioned, are an important application for us around the world as these buildings fit well with our products and where there is a need to insulate them well. So we already have a good business based on that.

Q

Thank you.

A

Thank you, Thomas. Are there any other questions to the first three items on the agenda? Otherwise, we can run through them. Item 1 was the report on the company's activities. If there are no comments, we can make note of the report. Item 2 was the annual report and if there are no more comments, then we can move on to Item 3, which is the formal adoption of the annual report and the discharge for the management and board.

And that goes for the financial statements as well as the sustainability reporting. Are there any further comments for the annual report? If not, then I conclude that the annual report has been adopted. That leads me to Item 4, which is the presentation and an advisory vote on the remuneration report Thomas already touched upon some of the elements of the remuneration report which has been available on the company website. Are there any comments in this regard? If not, I conclude that the remuneration report is approved.

That leads me to item 5, which is the remuneration of the Board of Directors until the next AGM in 2026. The proposal can be seen on the slide behind me, which is an upward adjustment of 3.5%. We have a basic fee for ordinary members of 455,000, and the Chairman receives three times that basic fee and the Deputy Chairman receives twice that fee. Then there's an additional fee for being a member of the board committees. As you can see here, are there any comments or questions? That does not seem to be the case, then I can conclude that that is adopted.

That leads me to item 6, which is the allocation of profits. Thomas mentioned this as well. The proposal here is to pay out a dividend of DKK 63 per share. Let me say that this is before the share split and that is a total of €182 million being paid out as dividends. Any questions or comments in this regard? If not, I can conclude that that is adopted.

That leads me to item 7 on the agenda, which is the election of members for the Board of Directors. The proposal could be seen in the convening notice, along with a description of the candidates that executive functions and experience. First of all, the board proposes re-election of Thomas Kähler, Bjørn Høi Jensen, Rebekka Glasser Herlofsen, re-election also of Carsten Kähler. And Ilse Irene Henne, and then also the board proposes election of Claes Westerlind as a new member of the board. He's here today. And as it has been stated in the convening notice, Claes Westerlind is the President and CEO of NKT and has extensive experience with strategic management of international groups, marketing and sales.

The board also has three employee elected members, Connie Enghus Theisen, Christian Westerberg Janni Munkholm Nielsen. Are there any questions or comments. Regarding the proposals from the board for election of members that does not seem to be the case, then I hope you will help me to congratulate the candidates who have now all been elected.

Unverified Participant

That brings us to Item 8, election of auditors and it's proposed to re-appoint PricewaterhouseCoopers both on the financial and the ESG side of things. Are there any comments for that? No. Then we can congratulate PwC on the re-election. Under Item 9, there are nine proposals from the Board of directors. And one of them is an oldie but goldie, authorization to acquire own shares. It has been mentioned that there's a plan for a share buyback program and that's part of this authorization. So it's quite a run of the mill authorization to acquire both A and B shares. And the share price must not deviate more than 10% from the most recent And the share price must not

deviate more than 10% from the most recent listed price of any comments or other issues regarding this. No. Then I consider that approved. 9B is the amendment for a share split and the board proposes that the shares split in a ratio of 1:10, so each [indiscernible] share will be changed from one share into 10. It doesn't mean that you have a relatively high share of the company or better voting rights, but it's just a split for all shares and that the details can be found in the convening notice. Of course there are some technical issues about this and there'll be a company notice sent out after the AGM where can see the timeframe for this. And of course it's important to be aware of this if you want to trade shares because it will influence the price of the individual share. But the dividends will be paid out before the share split. Are there any comments regarding this or any questions? If not, you have just soon received 10 times as many shares, but probably at a lower share price.

Item 9C is reduction of the company's share capital and cancellation of own shares. It has been mentioned that shares have been acquired for €1.2 billion, which are proposed to be cancelled and that will be a reduction in the share capital, which means that the Articles of Association will need to be amended. Are there any comments regarding this proposal? No. Then that's also approved and it'll also take a while, but four weeks before this is implemented and you'll see it in the Articles of Association.

DKK 90 million is a proposal that has already been mentioned about contributing a further DKK 100 million to the foundation for Ukrainian reconstruction. The details on the slide behind me. So another DKK 100 million for the Ukrainian reconstruction fund. Any comments on this? No, that's not the case. So, I'll consider that adopted.

That brings us to the final item on the agenda. Any other business? Are there any questions or comments? We cannot make any decisions here. I can see a shareholder is making his way to the rest room. It's Mr. Bjørn Hensen to come up here.

Q

Right. I have two questions. What I can read from the English version of the accounts is that you opened a new mine in Mississippi. Does that produce at full speed now for the American market or when will it be up and running at full capacity? Then secondly, someone is asking about these A and B shares and the ratio of 1:10. Is it a split? Okay. Right. Thank you.

A

Any more questions? If not, I will give the floor to Thomas to answer these two questions and round off the AGM.

A

I understand that the second question was already answered, that it's a split of both the A and B shares. The other question about the production line in Mississippi it's not an insulation production line, but a technical production line. So we take will from the major production line and do technical product. So that's the product line we are constructing. And the plan is, as I remember the plan, it will open for production in 2028. So it's some way into the future, but it will not be more stone wool capacity, but it will enable us to make technical insulation products which are in great demand in the southern US.

Are there any more questions on any other business? That's not the case. So, Thomas, I think you can close the AGM or the formal part of it.

Unverified Participant

Thank you. And thank you 01:08:03 us for once again, guiding us safely and calmly through the day's AGM. And we have now concluded the business of the AGM. But we do have a transition, a tradition here at Rockwool with a special guest speaker. I have already told you that today's speaker is Rockwool's own Mirella Vitale, Senior Vice President responsible for marketing, communication and public affairs. As I already mentioned, she will speak into the exciting developments we are experiencing with the European focus on building renovation and the green transition. Mirella is not that good at the initiate, so she will speak in English. There will be interpretation. So if you would like to hear the Danish interpretation, you can get a headset, if you haven't already picked one up, they are right outside the door and then you can get the Danish interpretation of Mirella's presentation. After Mirella's speech, there's nothing else on today's program. So I would like to thank you all for coming and going into the dark, even though it's sunny outside. And thank you for your investment in ROCKWOOL. Thank you all.

Unverified Participant

I'll just give a few minutes for people to collect their headsets. But I promise I will speak British English, not American English. Okay. So I think I will start. So as Thomas mentioned this afternoon, I'm going to talk about a very specific piece of European legislation known as the EPBD which is the Energy Performance of Buildings Directive, which is going to drive a renovation wave across Europe and its impact that it will have on local business. And I'm going to try and make it exciting. So let's see. Let's see if I succeed. Buildings are Europe's most valuable assets, and I think we can say they're also society's most valuable asset. If we think about where we spend most of our savings in our funds, it actually goes into, into our homes. So it's a -- it's a valuable asset for, for all of you. It is for me and it is for society at large. So everyone's most valuable asset. We've had the statistics. Everybody talks about it. Buildings account for a third of energy consumption across Europe and across the world. People spend 90% of their time in buildings. So what does this mean? This means that whether we work, play, study or recover, buildings have an impact on our lives and how we feel. So regardless where you live, the Energy Performance of Buildings Directive, more than any other EU piece of legislation that is available today actually matters. It matters to society because it matters economically, it matters environmentally, and it matters socially.

And what do I mean by that? Hopefully I'm able to explain the energy performance of Buildings Directive mandates higher energy efficiency standards and renovation targets, reducing the use of fossil fuels in buildings to heat our homes and therefore lowering emissions. It sets a clear goal to renovate one in four public buildings and commercial buildings by 2033 in millions of residential homes. That's a huge task. By 2033 for commercial and public, by 2030 for residential. That's less than a decade to get all of this done. So the task ahead of us is very, very big. But so are the benefits. So let's take a look at what I mean by the benefits.

This directive, of course, supports climate goals. The International Energy Agency clearly says that the world cannot achieve net zero without addressing the emissions that come from the built environment, which are huge. They estimate that energy efficiency improvements alone can reduce CO2 emissions by 40%. And this is an enabler for us to reach the 2040 Paris climate goals, which have been translated to climate law at a European level. So the formula is actually quite simple use less energy, reduce the use of fossil fuels and save CO2 emissions, and less carbon emissions are emitted into the environment. So climate goals, which are the obvious target, are easily met by building renovation.

But you're probably thinking we've heard all of this before. So what has changed? What is new with this directive? Well, first of all, it's a mandated law. It's not just a framework or a guideline. And so far, energy efficiency directives that we have seen come out of Europe have actually focused on new built, where there's been clear targets for reaching nearly zero energy consumption in buildings, but they haven't focused on renovation or the current building stock. There were very long-term goals set out for 2050, but no specific short-term goals. And if you consider that today, there are still 45 million Europeans living in energy poverty, this step change in this speed that was required was a necessary change. And this comes today with this legislation.

So energy security, that's another benefit that comes from the renovation wave. In recent months, I don't know if I dare say in recent days that maybe even today there's been huge discussions on the energy in Europe and it's considered, as they say across the Atlantic, it's an energy poor Europe. Europe is not self-sufficient when it comes to energy supply. Well, the successful implementation of this directive means less reliance on imported energy. So by optimizing our energy use the EU reduces its dependence on imported fossil fuels and stabilizes the economy against price shocks. I think we can all agree a necessary, another necessary step in the right direction. But it also mandates the use of PV on flat roofs. And of course PV panels are meant to alleviate some of the stress and pressure that comes to the demand in energy for buildings. But above all, they'll increase the demand for ROCKWOOL non-combustible insulation because the risk, the additional risk of fire hazards with an active component on the roof of our buildings is, of course, needs to be mitigated and ROCKWOOL has the product to do that.

Another key element of this directive is that the energy transition should not leave anybody behind. It should be fair and accessible to all. In fact, the Energy Performance Directive actually mandates that it's the worst performing buildings that are addressed first. There are financial mechanisms to support the families and the buildings that need the renovation. But there's also social safeguards to make sure that these funds are fairly accessible to all. This means that across Europe north, south, east or west, urban or rural areas, big or small communities, everybody has the possibility to access these funds. And again, buildings are borderless. All of us live in a building, no matter where we are in the world. So more than any other directive, the distribution of these funds that come from the European Union can impact a much larger audience. Buildings also impact on well-being and building that's too hot or too cold impacts our stress levels. Humidity and dampness can cause respiratory diseases. Too much noise can decrease productivity and our learning abilities or the learning abilities of our children in a classroom where they do not hear the consonants or the words spoken by a teacher. Well, the ROCKWOOL portfolio of products can actually help with all of these issues. So we could say that every home and every building deserves ROCKWOOL. At least I say that's a good thing.

What about European competitiveness? Another hot topic of these recent discussions. Well, the EU has been a global leader in providing energy efficiency technology. This European leadership fosters innovation. It creates jobs. And it has export potential for the EU. 16 million people across Europe today are already employed directly by the construction industry. This new renovation wave is expected to add millions of additional jobs. And these are primarily within small and medium enterprises. Again, boosting the economies of local communities regardless of their geography. Energy efficiency and less consumption also means less costs for industries. So given the EU's current high energy prices, this will help European companies remain competitive and reduce operational expenses. However, it's not done yet. We've -- we've seen legislations come and go, but the on ground delivery is what is necessary and key to get it across the finishing line. So as it stands now, this is a European directive that requires transposition and transfers to the member state level. This directive has very clear goals. It is a law, it is mandated so that the Member States will have to comply, but it doesn't tell them how they should do it.

So this is where my job and ROCKWOOL's job comes in because we need to continue to advocate in favor of deep energy efficiency, renovations with sustainable fire safe and circular materials as we all know not all materials are made equally. To succeed in the innovation wave, a lot more capacity is going to be required. We spoke earlier about our expansion plans and ROCKWOOL is committed to meet the demands of this extra capacity need. And in addition to the 22 factories that we already have in operation in Europe, we currently have expansion projects in various stages in France, Sweden, Romania and the UK. We're also investing in the technologies to review, reduce our environmental impact and increase the efficiency of our product offerings through electrification. So in conclusion, when we look at all these benefits, ROCKWOOL is well positioned to benefit from this directive to drive more business from this directive. We have the proven technologies that will help Europe achieve rapid decarbonization. This is true both for our industrial processes where we are decarbonizing and we have the technology to do so and for our products that actually help society decarbonize at a rapid rate. But above all, we have the people. So the potential for quick wins are right here, right now. Legislation is on our side and it is our purpose. Our purpose is to deliver on our promise to our customers, to you, our shareholders and to society. And hopefully we will deliver, well I'm certain we will deliver on our promises. And thank you for your time

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